

Atlanta Electricals Ltd — Concall Tracker

A short read of the last four earnings calls (Oct 2025 → May 2026) • Prepared 11 July 2026 • Screener ticker: ATLANTAELE • *Not investment advice*

1. Snapshot

What the business does: Atlanta Electricals makes **transformers** — the large steel-and-copper boxes that step electricity up or down in voltage so it can travel across the power grid and reach homes and factories. It has been at this for over three decades, sells mostly to state power utilities (roughly two-thirds of orders) and some private builders, and is based in Gujarat. It listed on the stock market only in 2025, so this is a **very young public company**.

Number (latest)	Value	Plain-English read
Market value of the company	Rs 13,037 crore	What the whole company is worth on the stock market today.
FY26 sales (year to Mar 2026)	Rs 1,851 crore	Total sales for the year — up about 49% on last year's Rs 1,244 crore. Nearly half as much again.
FY26 profit after tax	~Rs 202 crore	What was left after all costs and tax — up about 70% . Profit grew even faster than sales. (Screener shows Rs 217 crore on a slightly different basis.)
Operating margin FY26	18.6%	Out of every Rs 100 of sales, about Rs 18.6 is operating profit — up from 15.6% a year ago. Each sale now keeps more.
Debt	Nil (term loans)	All long-term loans fully repaid by 31 Mar 2026 — the company is now effectively debt-free .
Order book (unexecuted)	Rs 2,493 crore	Work already won but not yet delivered — more than a full year of sales sitting in hand.
Share price valuation (P/E)	~60 times	The stock costs about 60 years of current profit — expensive . A lot of future growth is already priced in.
Return on capital (ROCE / ROE)	47% / 34%	The money invested in the business earns very high returns — a sign of a quality operation.

2. Concall coverage

Because the company only listed in 2025, just **four earnings calls exist** — all read for this report. That is a genuinely thin history: it covers one financial year (FY26), so we can judge whether management delivered *within* that year, but there is not yet a multi-year record to lean on.

Quarter	Call date	Transcript read?
Q1 FY26 (Apr–Jun 2025) — debut call	17 Oct 2025	Yes
Q2 FY26 (Jul–Sep 2025)	12 Nov 2025	Yes
Q3 FY26 (Oct–Dec 2025)	20 Jan 2026	Yes
Q4 FY26 (Jan–Mar 2026) — latest	11 May 2026	Yes

★ Latest concall highlights — Q4 FY26 (11 May 2026)

- **Big jump in results.** Q4 sales were **Rs 747.6 crore**, up about **82%** on the same quarter last year (Rs 411.5 crore) — the business almost doubled year-on-year and grew 58% over the previous quarter.
- **Profit and margin both surged.** Q4 operating profit **Rs 149.6 crore** (more than doubled) and margin touched **~20%** (from 16.7% a year ago) — each rupee of sale is now much more profitable. Q4 net profit **Rs 102.2 crore**, up 129%.
- **Now debt-free.** All long-term loans repaid from the IPO money and cash — a big reduction in interest costs from here.
- **The single biggest milestone:** on **2 April 2026** the company got Power Grid (PGCIL) approval to make transformers up to **400 kV** at its new Vadod plant — the gateway into the higher-value, higher-margin "extra-high-voltage" market. It also won its **first-ever 400 kV order**.
- **Tone:** confident and specific — management repeatedly said FY26 "validated our investment thesis," backed claims with numbers, and set the next goal as building and proving 400 kV and 765 kV prototypes.

Business mix & capacity (quick facts)

Domestic vs export: almost entirely **domestic** today — India is the core market. Exports are tiny so far (first sizable overseas order was just Rs 20 crore in FY26). Management wants exports to reach a *maximum* of about 15% of sales over three years, so ~85%+ stays domestic. Within India, roughly **60–75% of orders come from state power utilities** and the rest from private builders and industry.

Capacity utilization: Total capacity was expanded nearly four-fold, from ~16,000 to **63,060 MVA** (MVA = a size measure for transformers). In FY26 the plants together made **22,943 MVA**. The three old plants run at **100%** (full), while the two new plants are still ramping — the flagship

Vadod plant ran at only ~39% in its first seven months. Management guides Vadod to ~65% next year and ~100% the year after, so there is a lot of unused capacity still to fill — the main source of future growth.

★ 3. Earning trigger thesis

The core story is simple and concrete: Atlanta quadrupled its factory capacity (adding the big Vadod plant and buying the ex-Chinese-JV BTW plant, renamed Atlanta Trafo) right as India entered a multi-year **power-grid building boom** — roughly Rs 9.6 lakh crore of transmission investment planned to 2032, plus renewables, data centres and battery storage all needing transformers. As the new plants fill up and the product mix shifts to bigger, higher-voltage (400 / 765 kV) transformers — which carry *better* margins — both sales and profit should keep climbing. Crucially, this is not a promise about the future: it is **already showing up in the numbers** (Q3 sales +80%, Q4 +82%, full-year margin up 300 basis points, debt cleared).

Trigger	What management said	Evidence so far	Time horizon	Strength
New capacity (Vadod + Atlanta Trafo) filling up	New plants to drive top line from H2 FY26; ~40% growth a year	Delivered — FY26 sales +49%, Vadod added ~Rs 495 crore in 7 months; plant payback in 3–4 years vs industry norm of 5–7	Now → FY28 (plants reach full use)	Strong already delivering
Shift to higher-voltage (400 / 765 kV) transformers	Higher voltage = higher margins; got PGCIL 400 kV approval; won first 400 kV order	Partly — approval and first order secured, but no 400 kV revenue yet ; prototypes still to be built and tested	FY27–FY28 and beyond	Unproven the big prize is still ahead
Grid / renewables / data-centre demand wave	Multi-year shortage of transformers; demand outruns supply for 3–5 years	Supported — order book at record Rs 2,493 crore; margins rising, no price war yet	Multi-year	Strong but industry-wide (many rivals also expanding)

In short: the *first* engine (fill the new plants) is real and firing hard now. The *second* engine (extra-high-voltage 400/765 kV) is the bigger long-term prize but has not yet produced a single rupee of sales.

4. Management consistency scorecard

Only four calls exist, so this is a one-year promised-vs-delivered check, not a long track record.

Period	What was promised	What actually happened	Verdict
Q1 FY26	New plants would lift sales meaningfully in the second half of the year	They did — Q3 sales +80%, Q4 +82% year-on-year	Delivered
Q1–Q2 FY26	~15.5% margin is sustainable, improvement possible	Beaten — margin rose to ~20% by Q4	Delivered
Q1 FY26	Use IPO money to repay debt	All term loans cleared; company now debt-free	Delivered
Q1–Q3 FY26	Power Grid (PGCIL) plant approval "next quarter / by November"	Slipped twice, finally received 2 April 2026	Partly (late but done)
Every call	Grow ~40% a year	FY26 grew 49% — ahead of target	Delivered
Q3–Q4 FY26	Prove a 400 kV prototype first, then chase big EHV orders	Still in progress — prototype/short-circuit test pending	Too early

Narrative drift: Essentially none. The story has stayed remarkably steady across all four calls — same plants, same voltage-upgrade plan, same demand thesis, told in consistent detail with real numbers. Management refuses to give exact forward guidance (calls transformers "a long-term business") but has hit or beaten the loose ~40% growth marker they set. The only visible slip was the PGCIL approval timeline, which drifted a couple of quarters before landing. Tone has stayed confident but not hype-y. *Caveat: this consistency is impressive but only eight months old — a genuine test of trust needs a downturn or a stumble, which this young public company has not yet faced.*

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete driver — a near-four-fold capacity expansion landing straight into an Indian transformer super-cycle — and it is **already delivering** (sales +49%, margin up 300 bps, record order book, debt cleared). The next leg (extra-high-voltage 400/765 kV) is unproven and adds risk, but the base trigger is real and live today, so this is a clear Yes.

Management consistent? → YES

Across all four calls management largely did what it said — ramped the plants, expanded margins, cleared debt, and beat its ~40% growth marker — with a steady, no-drift story. The only wobble was a twice-delayed PGCIL approval, which still landed. This earns a Yes, **but with an honest asterisk:** the record is only eight months / four calls long, so it is not yet battle-tested.

Sources: Atlanta Electricals earnings-call transcripts for Q1–Q4 FY26 (17 Oct 2025, 12 Nov 2025, 20 Jan 2026, 11 May 2026) and Screener.in financial snapshot. This is a reading of what management said versus what the numbers show — not investment advice. Do your own due diligence.